

Winds of Change

The privatisation of Pawan Hans will boost India's minuscule rotor-wing aviation industry

BY **MANISH PANT**

► **AFTER THREE FAILED** attempts, the Union government has finally found a suitor for its loss-making helicopter service company Pawan Hans. The winning consortium, Star9 Mobility—comprising Big Charter, Maharaja Aviation and Almas Global Opportunity Fund—made a bid of ₹211.14 crore. As per procedure, the reserve price for the sale was fixed at ₹199.92 crore, based on a valuation carried out by SBI Capital Markets and RBSA Advisors.

Coming nearly three months after the sale of the national flag carrier, Air India, the sale of Pawan Hans, a 51:49 joint venture between ONGC and the Union government, is being seen as yet another milestone for the government's disinvestment programme. "Pawan Hans' disinvestment is definitely positive news for the government's disinvestment exercise as well as the Indian aviation sector," Akshay Nagpal, Partner at law firm Saraf and Partners, tells *Business Today*.

Welcoming the move, G.R. Gopinath, founder of helicopter charter firm Deccan Aviation, says, "The privatisation of Pawan Hans is good for the consumer and the country as it will help in expanding the market

and increase competition." Industry veteran Pushpinder Oberai adds, "This will also provide a boost to the segment, which is presently a minuscule part of India's aviation industry."

As a government-run business, the firm enjoyed a near-monopoly in the rotary-wing aviation market, which restricted its scale of operations and fleet size to 42 helicopters, out of which it owns 41. Its owned helicopters have an average age of over 20 years, with three-fourths of them no longer under production.

Per Smedegaard, a former CEO at a leading Indian helicopter services firm, has an interesting insight. "The number of registered civil helicopters in India is around 230. In Brazil, Sao Paulo alone has more than 700 helicopters. So, the privatisation of Pawan Hans will help bring new perspective to the industry," he says. **BT**

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28 |



SOARING HIGH EVEN AS OPPOSITION PARTIES HAVE ATTACKED THE VALUATION OF PAWAN HANS, LEGAL EXPERTS SAY THAT THE DEAL IS UNLIKELY TO FACE ANY HURDLES